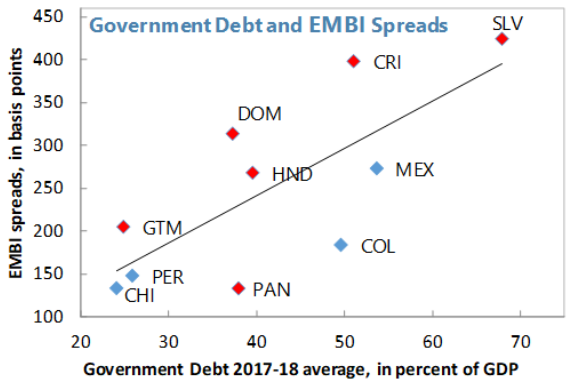
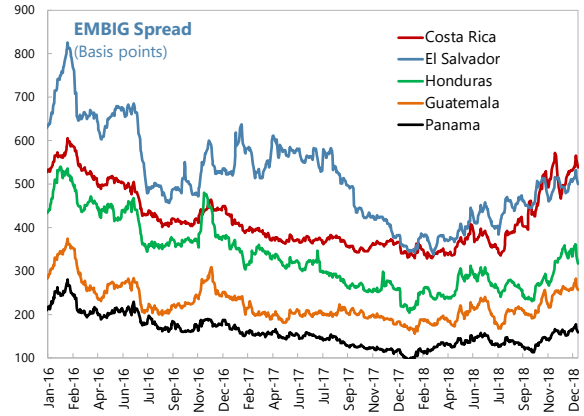
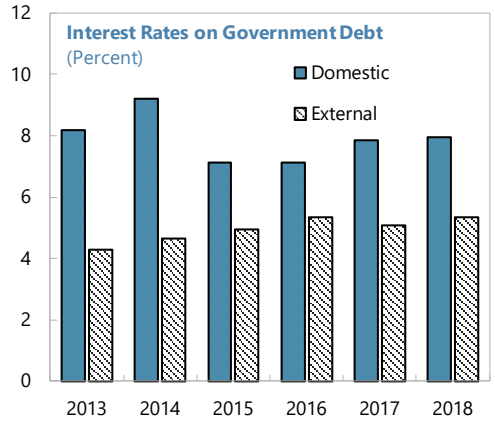
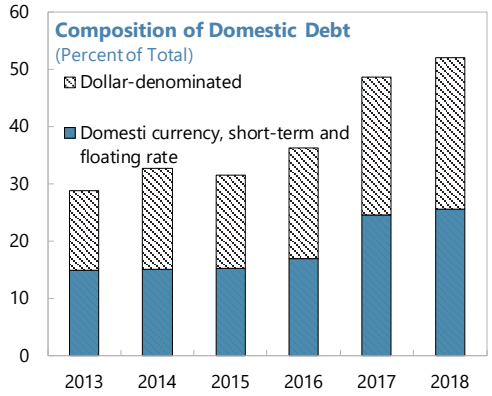
Figure VI.1. Costa Rica: Vulnerability to Interest Rate and Exchange Rate Shocks









Sources: Bloomberg, Haver Analytics, the Ministry of Finance, and staff calculations.

- **Mitigating factors.** A stable investor base is an important mitigating factor. Notwithstanding the vulnerabilities associated with external and FX debt, highlighted in the debt profile indicators of the heat map, more than half of total domestic debt is held by captive local institutional investors, including the social security system, nonfinancial public-sector institutions, and banks.

- **Recommended adjustment path.** Fiscal consolidation should strike an appropriate balance between reducing debt faster and limiting the adverse impact on growth. An additional front-loaded adjustment of ¾ percent of GDP relative to the baseline is recommended to reduce near-term financing pressures and debt faster.

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Figure VI.2. Costa Rica: Public Sector Debt Sustainability Analysis (DSA) - Baseline Scenario

(In percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators 1/

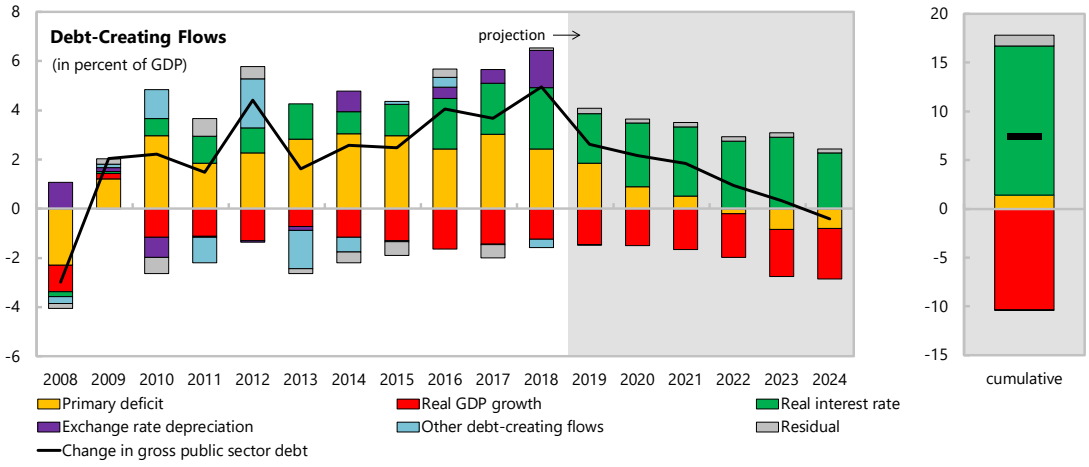
	Actual			Projections					
	2008-2016 2/	2017	2018	2019	2020	2021	2022	2023	2024
Nominal gross public debt	33.6	48.6	53.5	56.2	58.3	60.1	61.1	61.4	61.0
Public gross financing needs	11.7	10.6	12.4	12.0	10.4	11.4	11.6	10.3	8.1
Real GDP growth (in percent)	3.5	3.4	2.7	2.9	2.8	3.0	3.1	3.3	3.5
Inflation (GDP deflator, in percent)	5.8	2.5	2.4	3.7	3.0	2.7	2.9	2.9	3.0
Nominal GDP growth (in percent)	9.5	6.0	5.1	6.8	5.9	5.8	6.2	6.3	6.7
Effective interest rate (in percent) 4/	8.9	7.5	7.8	7.9	7.9	7.9	7.9	8.0	7.1

As of February 15, 2019

Sovereign Spreads		
EMBIG (bp) 3/		469
5Y CDS (bp)		398
Ratings	Foreign	Local
Moody's	B1	B1
S&Ps	B+	B+
Fitch	BB	BB

Contribution to Changes in Public Debt

	Actual			Projections							
	2008-2016	2017	2018	2019	2020	2021	2022	2023	2024	cumulative	debt-stabilizing primary balance 9/
Change in gross public sector debt	2.0	3.7	5.0	2.6	2.2	1.8	0.9	0.3	-0.4	7.5	
Identified debt-creating flows	2.0	4.2	4.8	2.4	2.0	1.7	0.8	0.2	-0.6	6.4	
Primary deficit	1.9	3.0	2.4	1.8	0.9	0.5	-0.2	-0.8	-0.8	1.4	0.2
Primary (noninterest) revenue and grants	13.7	13.8	13.7	14.5	15.0	15.2	15.3	15.4	15.5	90.9	
Primary (noninterest) expenditure	15.6	16.8	16.1	16.3	15.9	15.7	15.1	14.6	14.6	92.3	
Automatic debt dynamics 5/	0.1	1.2	2.8	0.6	1.1	1.1	1.0	1.0	0.2	5.0	
Interest rate/growth differential 6/	-0.1	0.6	1.3	0.6	1.1	1.1	1.0	1.0	0.2	5.0	
Of which: real interest rate	0.9	2.1	2.5	2.0	2.6	2.8	2.7	2.9	2.3	15.3	
Of which: real GDP growth	-1.0	-1.4	-1.2	-1.5	-1.5	-1.7	-1.8	-1.9	-2.0	-10.3	
Exchange rate depreciation 7/	0.2	0.6	1.5	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	0.0	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Use of Deposits (negative)	0.0	0.0	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., ESM and Euroare	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes 8/	0.0	-0.5	0.1	0.2	0.2	0.2	0.2	0.2	0.2	1.1	



Source: IMF staff calculations.

1/ Public sector is defined as central government.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

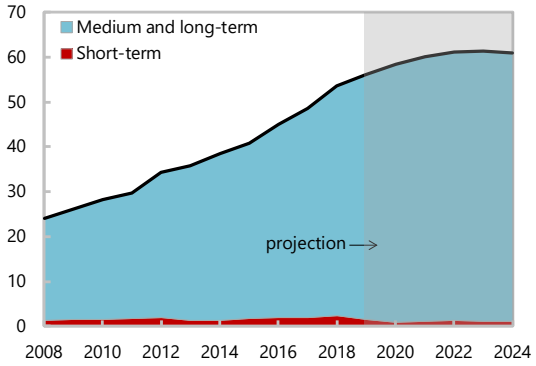
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Figure VI.3. Costa Rica: Public DSA - Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

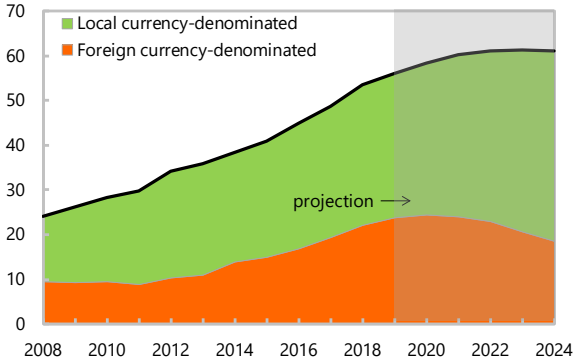
By Maturity

(in percent of GDP)

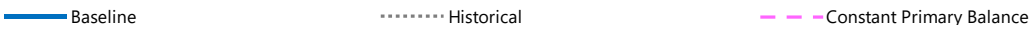


By Currency

(in percent of GDP)

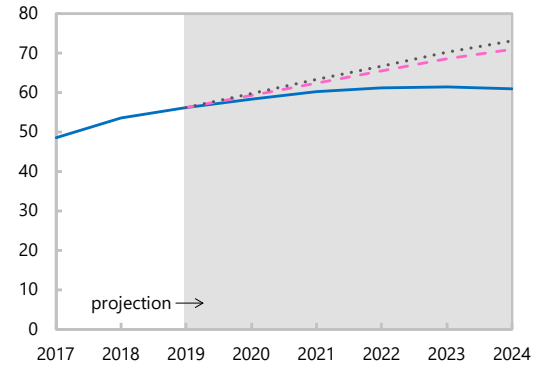


Alternative Scenarios



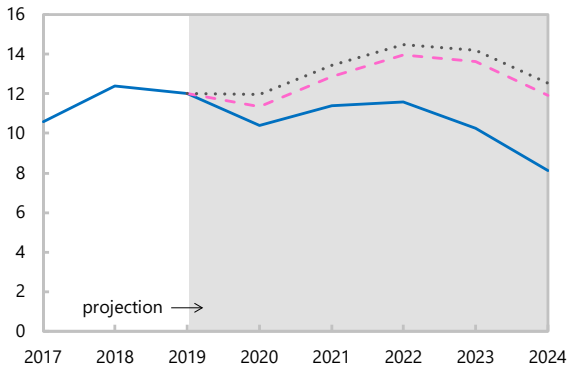
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.9	2.8	3.0	3.1	3.3	3.5
Inflation	3.7	3.0	2.7	2.9	2.9	3.0
Primary Balance	-1.8	-0.9	-0.5	0.2	0.8	0.8
Effective interest rate	7.9	7.9	7.9	7.9	8.0	7.1
Constant Primary Balance Scenario						
Real GDP growth	2.9	2.8	3.0	3.1	3.3	3.5
Inflation	3.7	3.0	2.7	2.9	2.9	3.0
Primary Balance	-1.8	-1.8	-1.8	-1.8	-1.8	-1.8
Effective interest rate	7.9	7.9	7.9	7.9	8.0	7.2

Historical Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	2.9	3.3	3.3	3.3	3.3	3.3
Inflation	3.7	3.0	2.7	2.9	2.9	3.0
Primary Balance	-1.8	-2.5	-2.5	-2.5	-2.5	-2.5
Effective interest rate	7.9	7.9	7.7	7.6	7.6	6.7

Source: IMF staff calculations.

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